Meta Platforms, Inc.

META NASDAQ

Hold	$609.48 ▼ 1.73%	12M Price Target	52-Week Range	Market Cap
		$680.00	$520.26 – $779.82	$1.59T

META: AI Capex Fears Overwhelm Fundamentals, Buyers Waiting

WHAT HAPPENED

- Stock has bled roughly 6% in five sessions (from $649 to $609) with no company-specific news — this is pure positioning ahead of earnings (Oct 29 after close) and a broader "AI capex indigestion" trade. When a mega-cap drifts down on rising volume with no headline, it usually means institutions are trimming before a known event.
- The options tape is screaming caution — massive unusual put buying at the $610/$612.50/$615 strikes expiring this week (40x normal open interest at $612.50). Someone with real money is either hedging a long position or betting earnings disappoint on the capex guide.

WHY IT MATTERS

Here's the real story: META is down not because the business is broken but because Wall Street is nervous about how much Zuck is spending on AI data centers (likely $100B+ in 2026 capex). The market is doing the math — more spending now means less free cash flow, and in a world where the 10-year Treasury is still elevated, every dollar of future earnings gets discounted harder. The COO sold ~$825K at $707 ten days ago, which looks prescient but is likely scheduled 10b5-1 selling, not a signal. The bigger inference: if earnings tomorrow show ad revenue still growing 20%+ AND they can articulate ROI on the AI spend, this $609 print is a gift; if they guide capex meaningfully higher without defending monetization, we see $560 fast.

POLICY & POLITICAL WATCH

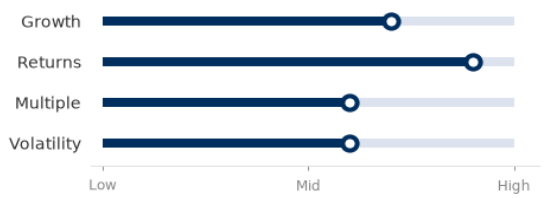
Two live wires for META right now: (1) the FTC antitrust case seeking to unwind the Instagram and WhatsApp acquisitions is still grinding through appeals — a loss would be an existential structural hit, though a breakup could actually unlock value (sum-of-parts argument). (2) The Kids Online Safety Act (KOSA) and various state-level age-verification laws keep resurfacing in Congress — if a federal version passes, META has to spend heavily on compliance but it also raises the moat against smaller competitors. On the tailwind side, the Trump administration's generally lighter-touch approach to AI regulation (vs. the EU AI Act) is a quiet positive — META can train and deploy models domestically with fewer guardrails than European peers face.

IS IT EXPENSIVE?

Key Data

Price (USD)	**$609.48**
12M Price Target	**$680.00**
Upside / (Downside)	**+11.6%**
Market Cap	**$1.59T**
FY2026E Revenue	**$196M**
FY2027E Revenue	**$225M**
FY2026E EPS	**$27.50**
FY2027E EPS	**$31.20**
Fwd P/E	**22.2x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

META — Meta Platforms, Inc. | October 28, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$650.00**	$615.00	**$560.00**
6 Months	**$740.00**	$670.00	**$540.00**
1 Year	**$820.00**	$680.00	**$500.00**
2 Years	**$950.00**	$780.00	**$480.00**
5 Years	**$1300.00**	$950.00	**$450.00**
10 Years	**$2000.00**	$1200.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+0.92%) and Healthcare are catching bids — classic defensive rotation when mega-cap tech wobbles. Energy specifically is riding the AI data center power demand story (every GW of AI compute needs natural gas or nuclear backing).

COOLING OFF: Consumer Staples down 0.31% suggests risk-on is still intact broadly — this isn't a recession trade, it's a "trim the winners before earnings" trade.

ROTATION WATCH: Money is quietly moving from hyperscaler mega-caps into the picks-and-shovels AI plays — utilities, power infrastructure, and cooling/data center REITs. That tells you investors still believe in the AI buildout but want to own it without the earnings risk.

RELATED PLAY: If you believe META's capex is real, the second-order winners are Vistra (VST), Constellation Energy (CEG), and Eaton (ETN) — they sell the power and electrical gear that META is buying.

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Holding up better than META because Search is a more defensible cash cow and investors trust Pichai's capex discipline more than Zuck's.
- NFLX (Netflix): Totally different animal — no AI capex overhang, just a clean subscription growth story benefiting from ad-tier ramp.

META CONTEXT: META is lagging the mega-cap tech group this week, which tells us this is a META-specific derating, not a sector-wide selloff. That's actually bullish for a mean-reversion trade IF earnings don't deliver fresh bad news — the setup is lopsided to the upside on a decent print.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the business long-term but I'm not stepping in front of earnings tomorrow when the options tape is this bearish.

POSITION SIZE: 3-5% of portfolio — core holding size, not a trading position. META belongs in most portfolios but you don't need to be a hero.

ENTRY POINTS: Scale in — half a position at $600, add the rest at $570-580 if earnings disappoint. If it rips to $660 on a great print, you missed it, move on.

TIME HORIZON: 12-18 months — the catalyst is proving AI capex generates revenue (Llama API, AI-driven ad targeting improvements, Ray-Ban Meta glasses adoption).

WHEN TO BAIL: Ad revenue growth drops below 10% YoY, Reality Labs losses exceed $25B/year, or FTC forces structural remedies in the antitrust case.

HEDGING: Easiest hedge is pairing with Alphabet (GOOGL) — similar ad exposure but less capex drama, so if the "AI spending is reckless" narrative wins, GOOGL outperforms and offsets some META pain.

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